



COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF ECONOMIC
2017 MOCK EXAMINATION (1)

Choose the best alternative for the following questions. (1 points each)

1. _____ emphasized on the comparison of different equilibrium states, which are related, with different set of values of parameters and exogenous variables.
A. Comparative static
B. Dynamics equilibrium
C. Differential equation
D. Difference equation
2. The general solution for $dy/dt + 2y = 6$ is computed as
A. $Ae^{-3t} + 3$
B. $Ae^{-2t} - 3$
C. $Ae^{-2t} + 3$
D. $Ae^{-3t} + 6$
3. Which of the following is not non-homogeneous difference equation
A. $y_{t-3} + 4y_{t-2} - 0.5y_t - 2 = 0$
B. $y_{t+1} + 4y_t = 0$
C. $y_{t+2} - y_t = 10$
D. $y_{t+2} = y_{t+1} + 34$
4. Identify an equation that shows converge to equilibrium with oscillation time path.
A. $y_t = 6\left(-\frac{1}{4}\right)^t + 9$
B. $y_t = 2(7)^t - 1$
C. $y_t = 6(-2)^t + 9$
D. $y_t = (0.5)^t + 0.21$
5. The particular integral for the following equation $y''(t) + 4y'(t) = 12$
A. $\frac{1}{4}$
B. $\frac{1}{2}$
C. $3t$
D. $8t$
6. Suppose $(4y + 8t^2)dy + (16yt - 3)dt = 0$ which of the following is true
A. $M = (16yt - 3)$
B. $N = (4y + 8t^2)$
C. Exact differential
D. Not Exact
7. Which one is true about the time path for economic growth $GDP_t = 3(2)^t + 4$
A. Diverges to 4
B. Converges to $3(2)^t$
C. Diverges to 3
D. Converges to 4

8. Which of the following is NOT a criticism of mercantilism?
- A. It leads to trade wars.
 - B. It is based on a zero-sum view of trade.
 - C. It ignores the benefits of specialization and trade.
 - D. It promotes efficient allocation of resource
9. The Heckscher-Ohlin theorem predicts that a country will export goods that:
- A. Are intensive in its abundant factor.
 - B. Are intensive in its scarce factor.
 - C. Are produced with the most advanced technology.
 - D. Are in high demand globally.
10. Offer curves primarily illustrate:
- A. A nation's production capacity.
 - B. A nation's consumption patterns.
 - C. A nation's willingness to trade at various relative prices.
 - D. A nation's technological advancements.
11. The Leontief Paradox refers to:
- A. The unexpected finding that U.S. exports were more labour-intensive than U.S. imports.
 - B. The failure of the theory of comparative advantage to explain trade patterns.
 - C. The negative effects of free trade on developing countries.
 - D. The benefits of protectionism.
12. What is the key difference between a hypothesis and a theory in the scientific context?
- A. A theory is always mathematically complex, while a hypothesis is not.
 - B. A theory requires no testing, while a hypothesis must be testable.
 - C. A theory has been extensively tested and found accurate, while a hypothesis is a tentative explanation.
 - D. A theory is only descriptive, while a hypothesis can be explanatory as well.
13. Which of the following best describes globalization in the context of international economics?
- A. The isolation of national economies.
 - B. The increasing integration and interconnectedness of markets across national borders.
 - C. The dominance of one country's economy over others.

- D. The decline of international trade.
14. New Trade Theories primarily focus on explaining trade patterns through:
- A. Traditional comparative advantage based on factor endowments.
 - B. Imperfect competition, economies of scale, and product differentiation.
 - C. Government intervention and protectionist policies.
 - D. The balance of payments and exchange rate fluctuations.
15. The elasticity approach to the balance of payments focuses on:
- A. The impact of income levels on trade flows.
 - B. The role of expectations in exchange rate determination.
 - C. The price elasticity of demand for exports and imports.
 - D. The impact of monetary policy on the balance of payments.
16. Developing countries can pursue various trade strategies to achieve economic growth. Which of the following best characterizes an outward-looking strategy?
- A. Prioritizes domestic production of previously imported goods.
 - B. Focuses on self-sufficiency and limits international trade.
 - C. Encourages exports and minimizes trade restrictions.
 - D. Emphasizes government control over foreign investment.
17. A tax of 10 percent per imported item would be an example of a (an):
- A. Ad valorem tariff
 - B. Specific tariff
 - C. Effective tariff
 - D. Compound tariff
18. If a small country imposes a tariff on an imported good, its terms of trade will:
- A. Improve
 - B. Worsen
 - C. Not change
 - D. Any of the above
19. The "dumping" argument against free trade refers to:
- A. The practice of selling goods in a foreign market at a price below their cost of production.
 - B. The imposition of tariffs on imported goods.
 - C. The provision of subsidies to domestic industries.
 - D. The restriction of exports to certain countries.
20. The theory of _____ suggests that government can assist domestic companies in capturing economic profits from foreign competitors.
- A. international dumping
 - B. countervailing duties
 - C. strategic trade policy
 - D. export promotion policy

21. Critics of import substitution (IS) strategies often argue that they:
- A. Guarantee efficient production and lower costs.
 - B. Foster robust competition in domestic markets.
 - C. May create sheltered and inefficient industries.
 - D. Always benefit foreign firms operating in the developing country.
22. All of the following are fundamental to the World Trade Organization except:
- A. bilateral tariff reductions to promote trade liberalization
 - B. the use of the most-favored-nation clause (normal trade relations)
 - C. nondiscrimination in trading relationships
 - D. the prohibition of import quotas and export quotas
23. When several countries jointly impose common external tariffs, eliminate tariffs on each other, and eliminate barriers to the movement of labor and capital among themselves, they have formed a/an:
- A. free trade area
 - B. customs union
 - C. common market
 - D. economic union
24. The African Continental Free Trade Area (AfCFTA) is an example of:
- A. A regional trade agreement aimed at promoting free trade within Africa
 - B. A global trade organization that regulates international trade
 - C. A protectionist policy that restricts trade between African countries
 - D. A unilateral trade agreement that benefits only one country.
25. If the distribution of income for country X with a total population of nine individuals is given as (1, 1.5, 2, 3, 5, 5, 2, 3, 1.25) and the poverty line is \$1.75, the headcount measure tells us what percentage of the population is in an absolute poverty situation
- A. 10%
 - B. c. 26.67%
 - C. 33.33%
 - D. 66.66%
26. Economic growth in one area adversely affects the prosperity of another refers,
- A. Backwash effect
 - B. Spread effect
 - C. pro-growth effects
 - D. trickle-down economics effect
27. Which of the following does not constitute economic development in ‘the new view’?
- A. Improvement in material welfare
 - B. Mere increase in the real GDP
 - C. Quantitative and qualitative changes in life

- D. Production and employment decisions open to all citizens
28. Which one of the following is not true about Lorenz Curve:
- A. It shows the actual quantitative relationship between the percentage of income recipients and the percentage of the total income received during a given period.
 - B. To construct it, we put the number of income recipients in cumulative percentage on the horizontal axis and the share of income received by each group (% age) on the vertical axis.
 - C. The Lorenz curves for different countries will lie somewhere to the right of the diagonal.
 - D. The more the Lorenz line curves away from the diagonal, the greater the degree of equality will be
29. According to Kuznets, which of the following is NOT a principal component of Modern Economic Growth?
- A. Increased savings rate
 - B. Sustained rise in national output
 - C. Advanced technology
 - D. Institutional and ideological adjustment
30. Which of the following factors contributes to the limited value of historical growth experience for developing countries, according to the document?
- A. Poor physical and human resource endowments
 - B. Abundance of natural resources
 - C. High levels of R&D capabilities
 - D. Favorable climatic conditions
31. In the context of Modern Economic Growth, what does "economic dualism" refer to?
- A. The coexistence of agriculture and industry
 - B. Balanced regional development
 - C. The simultaneous presence of modern and traditional sectors within an economy
 - D. Uniform economic policies across all sectors
32. What characterizes the "economic dualism" often observed in developing countries?
- A. Equal distribution of wealth across all economic sectors
 - B. Uniform technological advancements across all regions
 - C. Complete reliance on foreign aid for economic growth
 - D. Simultaneous presence of traditional agricultural and modern industrial sectors within an economy

33. The concept of "conditional convergence" in economic growth theory implies that:
- A. All countries will eventually reach the same level of income per capita.
 - B. Countries with higher rates of population growth will converge to lower income levels.
 - C. Poor countries will grow faster than rich countries if they have similar savings and investment rates.
 - D. Economic growth rates are solely determined by natural resources.
34. Gunnar Myrdal's theory of cumulative causation suggests that:
- A. Economic development in one region will always stimulate development in neighboring regions.
 - B. Economic inequalities will naturally diminish over time due to market forces.
 - C. Economic growth in developed regions will often widen the development gap with underdeveloped regions.
 - D. Labor migration from developed to underdeveloped regions will equalize economic disparities.
35. According to the Big Push Theory, economic development requires:
- A. Coordinated large-scale investments across multiple sectors.
 - B. Gradual investment in a few selected industries.
 - C. A minimal level of government intervention in the economy.
 - D. Strict adherence to free-market principles.
36. What is the primary critique of the Balanced Growth theory?
- A. It ignores the role of technological innovation.
 - B. It relies too heavily on government planning and intervention.
 - C. It places too much emphasis on the agriculture sector.
 - D. It fails to account for the need for balanced investment across different regions.
37. The Endogenous Growth Theory primarily focuses on:
- A. The role of external forces in driving economic growth.
 - B. The importance of natural resources in determining growth rates.
 - C. The contribution of human capital, innovation, and knowledge to economic growth.
 - D. The impact of global trade policies on developing countries.

38. The "vicious circle of poverty" suggests that:
- A. Poverty leads to higher economic growth
 - B. Rich countries provide financial aid to poor countries
 - C. Economic development is not influenced by poverty
 - D. Poor countries remain poor due to a set of self-reinforcing factors
39. In the context of economic theories, what does "cumulative causation" refer to?
- A. The process where economic growth in one area promotes further growth
 - B. The direct impact of government policies on economic growth
 - C. The balancing effect between rich and poor regions
 - D. The self-sustaining cycle of poverty
40. According to the International Dependence Model, the ruling elite in developing countries:
- A. Actively promote economic reforms to benefit the wider population
 - B. Serve and depend on international special interest groups
 - C. Primarily focus on developing local industries and self-sufficiency
 - D. Have no significant influence on the country's development policies
41. The False-Paradigm Model highlights the role of which group in providing incorrect development advice to LDCs?
- A. Local entrepreneurs and business leaders
 - B. Domestic politicians and policymakers
 - C. Agricultural workers and rural communities
 - D. International "experts" and advisers from developed countries
42. Which of the following is NOT a characteristic emphasized by the free market analysis of the Neo-classical Counter-Revolution?
- A. Goods markets provide reasonable signals for investment
 - B. Labor markets react appropriately to new industries
 - C. Factor and goods prices reflect true scarcity
 - D. Government intervention is essential for market efficiency
43. Which of the following is an example of a policy aimed at reducing income inequality?
- A. Regressive taxation
 - B. Deregulation of markets
 - C. Progressive taxation
 - D. Subsidizing luxury goods

44. What does the Palma ratio compare?
- A. The income share of the top 10% to the bottom 40%
 - B. The income share of the top 1% to the bottom 99%
 - C. The income share of the middle 50%
 - D. The income share of the bottom 20% to the top 40%
45. Which of the following describes heteroscedasticity in regression analysis?
- A. The error term's variance is constant across all levels of the independent variable.
 - B. The error term's variance changes at different levels of the independent variable.
 - C. The regression model includes irrelevant variables.
 - D. The regression coefficients are biased due to omitted variables.
46. Multicollinearity becomes a serious problem when:
- A. The independent variables are weakly correlated.
 - B. The independent variables are perfectly correlated.
 - C. The independent variables are independent of each other.
 - D. The error term has a non-constant variance.
47. Which of the following best describes the effect of heteroscedasticity on OLS estimators?
- A. It makes them biased and inconsistent.
 - B. It affects their efficiency but not their unbiasedness.
 - C. It ensures that OLS estimators remain efficient.
 - D. It reduces multicollinearity.
48. What happens to adjusted R^2 when an irrelevant independent variable is added to a regression model?
- A. It always increases.
 - B. It never changes.
 - C. It can decrease.
 - D. It always decreases.
49. How does multicollinearity affect the standard errors of regression coefficients?
- A. It reduces them, making estimations more precise.
 - B. It inflates them, leading to unreliable coefficient estimates.
 - C. It has no effect on standard errors.
 - D. It leads to heteroscedasticity.

50. Which of the following tests is used to detect heteroscedasticity?
- A. Park test
 - B. Durbin-Watson test
 - C. Variance Inflation Factor (VIF)
 - D. Augmented Dickey-Fuller test
51. What is the impact of including an irrelevant variable in a regression model?
- A. It biases the OLS estimators.
 - B. It does not affect the unbiasedness but can reduce efficiency.
 - C. It causes heteroscedasticity.
 - D. It increases multicollinearity.
52. A residual plot that shows a random scatter of points with no visible pattern suggests that:
- A. The model suffers from heteroscedasticity.
 - B. The model has no heteroscedasticity.
 - C. The model has multicollinearity.
 - D. The model has autocorrelation.
53. How can multicollinearity be detected in a regression model?
- A. Through residual plots
 - B. By performing auxiliary regressions
 - C. By using the Breusch-Pagan test
 - D. By checking the Durbin-Watson statistic
54. If the F-statistic in the overall significance test is not significant, it implies that:
- A. All independent variables are statistically significant.
 - B. None of the independent variables significantly affect the dependent variable.
 - C. The model has a high adjusted R^2 .
 - D. The model suffers from multicollinearity.
55. Which assumption is unique to multiple regression but not required in simple regression?
- A. No perfect multicollinearity
 - B. Linearity between variables
 - C. Homoscedasticity of residuals
 - D. Independence of observations

56. Which issue arises when an omitted variable influences both the dependent and independent variables?
- A. Multicollinearity
 - B. Endogeneity
 - C. Heteroscedasticity
 - D. Autocorrelation
57. Which test is commonly used to detect multicollinearity?
- A. Durbin-Watson test
 - B. Variance Inflation Factor (VIF)
 - C. Breusch-Pagan test
 - D. Jarque-Bera test
58. Which corrective measure is recommended if heteroscedasticity is detected in a regression model?
- A. Increase the sample size
 - B. Use robust standard errors
 - C. Remove independent variables with high variance
 - D. Increase the number of explanatory variables
59. What does a Variance Inflation Factor (VIF) value greater than 10 indicate?
- A. The variable is insignificant in the regression model.
 - B. The presence of severe multicollinearity.
 - C. The residuals are heteroscedastic.
 - D. The regression coefficients remain unbiased.
60. Choose the best answer from the given alternatives and write your answer on the space provided below
61. Which of the following is true about advertising in monopolistically competitive markets?
- A. It is unnecessary because products are identical
 - B. It is used to differentiate products and increase demand
 - C. It always leads to higher prices for consumers
 - D. None of the above

62. Which of the following factors is most likely to define a product group?
- A. Geographic location
 - B. Production process
 - C. Consumer preferences
 - D. Company ownership
63. In which of the following model optimal decision made by firms simultaneously
- A. low-cost price leadership
 - B. Stackelberg duopoly model
 - C. Bertrand duopoly model
 - D. dominant firm price leadership
64. In the long run, a firm in a monopolistically competitive market:
- A. Earns positive economic profits
 - B. Earns normal economic profit
 - C. Allocatively efficient but not productively efficient
 - D. Productively efficient but not allocatively efficient
65. When firms in an oligopoly successfully collude and do not cheat on a cartel agreement, they achieve long-run economic profit similar to:
- A. perfect competition
 - B. pure monopoly
 - C. monopolistic competition
 - D. non-colluding oligopolies
66. The mutual interdependence that characterizes oligopoly arises because:
- A. The products of various firm are homogeneous
 - B. The products of various firm are heterogeneous
 - C. The small number of firms produce the largest portion of the industry
 - D. The demand curve of the firm is kinked at the prevailing price
67. Which of the following statement describes best a cartel?
- A. An organization of independent firms producing similar products that work together to raise prices and restrict output.
 - B. An organization of independent firms producing different products that work together to raise prices and restrict output.
 - C. An organization of interdependent firms producing different products that work together to raise prices and restrict output.
 - D. An independent body set up by the government against oligopolistic firms.

68. A monopsony type of market failure is said to occur for which one of the following?
- A. Suppliers of labour have market power.
 - B. Buyers of labour have market power.
 - C. Buyers of products have market power.
 - D. Suppliers of products have market power.
69. Which of the following statement is correct
- A. The demand for labor under perfectly competitive market is MRPL
 - B. The demand for labor under monopoly market is MRPL
 - C. The demand for labor under monopsony market is VMPL
 - D. Individual supply curve for labor under perfectly competitive market is upward sloping
70. Indicate the one that is responsible for the MRP curve to slope downward, if the firm is a perfect competitor in the product market
- A. Price continuously declines as the demand for the input increase
 - B. Marginal physical product curve of the input is downward sloping
 - C. Both price and marginal product declines as the quantity of input used rises.
 - D. Inputs productivity rises as we use more of that resource
71. In a perfectly competitive market, the price of a factor is determined by:
- A. Government regulations
 - B. The total demand and supply schedules
 - C. The cost of production
 - D. The price of finished goods
72. What is a dominant strategy?
- A. A strategy that always results in the highest payoff for a player, regardless of the opponent's strategy
 - B. A strategy that results in the highest payoff only if the opponent chooses a specific strategy
 - C. A strategy that is chosen by the majority of players
 - D. A strategy that is based on random choices
73. What is information asymmetry?
- A. A situation where all parties have equal information
 - B. A situation where one party has more or better information than the other
 - C. A situation where no party has any information
 - D. A situation where information is irrelevant

74. Which of the following is an example of adverse selection?
- A. A buyer knowing more about a product than the seller
 - B. A seller knowing more about a product than the buyer
 - C. Both parties having equal information
 - D. Neither party having any information
75. What is moral hazard?
- A. The risk that one party will take on more risk because they do not bear the full consequences
 - B. The risk that both parties will act ethically
 - C. The risk that information will be shared equally
 - D. The risk that no party will take any risk
76. Which of the following can help mitigate information asymmetry?
- A. Increasing the amount of information available to all parties
 - B. Reducing the amount of information available to all parties
 - C. Ensuring that only one party has all the information
 - D. Ignoring the information altogether
77. In the context of information asymmetry, what is signaling?
- A. When one party sends a credible signal to convey information to the other party
 - B. When both parties ignore the information
 - C. When information is hidden from both parties
 - D. When one party refuses to share any information
78. Which of the following is an example of signaling?
- A. A job applicant providing a resume and references
 - B. A buyer refusing to negotiate
 - C. A seller hiding defects in a product
 - D. Both parties having equal information

79. Adverse selection is

- A. A situation where one side of the market cannot observe the type or quality of the goods on other side of the market.
- B. A by-product of consumption and production by people or firms that benefit or harm other people or firm who are not involved in the transaction or without any payment for the effect
- C. It refers to a situation where one side of the market can observe the action of the other firm
- D. It refers to a situation where one side of the market cannot observe the action of the other firm

80. If the National Bank of Ethiopia Created (Monetary Base) ETB 707 billion through open market operation and it was assessed that currency deposit ratio is 50% and lately NBE declared that required reserve ratio is 10%, What is the level of money supplied the economy?

- A. 1414.50 billion
- B. 1767.50 billion
- C. 707 billion
- D. 7070 billion

81. The immediate exchangeability of money is referred to as;

- A. Portability
- B. Liquidity
- C. Valuability
- D. Availability

82. Which one of the following is not among the advantages of financial institutions?

- A. Liquidity
- B. Risk pooling
- C. Minimize cost
- D. Maximize Production

83. Which one of the following shows the algebraic relationship between nominal interest rate (i_n), real interest rate (i_r) and expected rate of inflation (π^e)

- A. $i_r = i_n + \pi^e$
- B. $I_r = i_n - \pi^e$
- C. $I_r = \pi^e - i_n$
- D. $\pi^e = i_r + i_n$

84. All of the following defines demand for money except one?
- A. It refers to the amount of asset that people prefer to hold in the form of money
 - B. It refers to the liquidity preference
 - C. The total money the economy needs to run at optimal liquidity
 - D. It refers to cash or bank deposit rather than investment
85. Assets which yield a perpetual income stream of constant real amount is known as;
- A. Bonds
 - B. Equities
 - C. Money
 - D. Human wealth
86. Which one of the following is the liability to central banks?
- A. Reserves
 - B. Discount loans
 - C. Special drawing rights
 - D. Coin
87. Which one of the following is true when monetary base (MB), Currency is (C), Reserve is (R), Money supply is (M), Required reserve is (RR), Excess Reserve is (ER) and deposit is (D)?
- A. $M = C + RR$
 - B. $MB = C + R$
 - C. $RR = MB + ER$
 - D. $ER = R + RR$
88. Which one of the following factors affects money supply positively?
- A. Required reserve ratio
 - B. Excess reserve ratio
 - C. Currency ratio
 - D. Monetary base
89. Which one of the following functions of money doesn't cause demand for money.
- A. Medium of exchange
 - B. Store of Value
 - C. Unit of account
 - D. Standard of deferred payment
90. When the consumer is at the maximum total utility;
- A. Consuming more of a product increases the total utility
 - B. The marginal utility of a product is declining, but positive with additional consumption
 - C. Consuming more of a product derives higher marginal utility
 - D. The consumption of additional commodities leads to dissatisfaction
91. If a consumer's indifference curves are convex to the origin, it implies that the consumer exhibits;
- A. A decreasing marginal rate of substitution
 - B. Perfect substitute preferences
 - C. Increasing marginal utility from both goods
 - D. A constant willingness to trade off one good for a unit of another

92. For normal goods, the substitution and income effects of a price decrease will;
- Both substitution and income reduce the quantity of the goods demanded
 - The substitution effect decreases the quantity demanded, whereas the income effect increases it
 - Both income and substitution effects increase the quantity of goods demanded
 - The income effect decreases the quantity demanded, whereas the substitution effect increases it
93. Why TC and TVC curves increase in a parallel way
- Because of MC
 - Because of TC
 - Because of AVC
 - Because of TFC
94. In the short run, diminishing marginal returns are implied by
- Rising marginal cost
 - Rising marginal product
 - Rising average variable cost
 - Rising average cost
95. To increase its production, Hariharan a manufacturer of shoes, increases all the factors of production in his unit by 100%. But at the end of the year, he finds that instead of an increase of 100%, his production has increased by only 80%. Which law of returns to scale is operating in this case?
- Increasing returns to scale
 - Decreasing returns to scale
 - Constant returns to scale
 - Returns to scale cannot be determined
96. Average fixed cost (AFC);
- Declines as the firm expands output and eventually rises
 - Falls continuously as total output is increasing
 - Refers to the costs associated with producing an additional unit of output
 - Does not change as total output increases or decreases
97. A property of the OLS estimates where the difference between its expected value and the true parameter should be zero is known as
- Unbiasdness
 - Minimum Variance
 - Efficiency
 - All of the above
98. If the total sum of squares (TSS) in a regression is 81, and the sum of squares residuals (RSS) is 25, what is R-squared?
- 0.69
 - 2.24
 - 0.31
 - 56

99. Consider an individual who has a diminishing marginal utility of wealth. Then, which one of the following describes the individual behaviour under risk?
- An individual has a constant utility function of wealth
 - An individual prefers gambles with higher variability
 - An individual will go for a certain outcome over a risky gamble with the same expected value
 - An individual is more considerate of gains than losses in gambles
100. Assume a perfectly competitive firm has a cost function; $TC = Q^3 - 2Q^2 + 10Q + 5,000$. Then, the firm supply would be zero for the market price;
- Below $\frac{26}{3}$
 - Below 9
 - Below $\frac{2}{3}$
 - Below 1
101. In a decision that involves uncertainty, a risk averse individual;
- Chooses a gamble with a high expected value over a certain amount
 - Prefers a certain outcome over a risky gamble with the same expected value
 - Chooses gambles that have higher variance and lower expected value
 - Is indifference between a gamble and a certain outcome with the same expected value
102. The rate at which a person can trade the currency of one country for the currency of another.
- Real exchange rate
 - Nominal exchange rate
 - Depreciation
 - Appreciation
103. Real exchange rate is computed as
- Nominal interest rate and the ration between domestic price to foreign price
 - Nominal interest rate and the ration between foreign price to domestic price
 - Nominal interest rate and the ration between domestic price to foreign exchange rate
 - None
104. Suppose the marginal propensity to consume is 0.75, then the tax multiplier is
- 3
 - 3
 - 4
 - 4
- 115.If the nominal exchange rate between Saudi Riyal and Ethiopia Birr is 0.5 riyal per birr, then how many birr can you get for a riyal?
- 1.5
 - 0.5
 - 2
 - 1

116. The Mundell-Fleming model shows that
- A. Fiscal policy does not influence aggregate income under fixed exchange rates
 - B. Monetary policy does not influence aggregate income under fixed exchange rates
 - C. Fiscal policy does not influence aggregate income under floating exchange rates
 - D. Monetary policy does not influence aggregate income under floating exchange rates
117. In an open economy the LM curve is
- A. Upward
 - B. Downward
 - C. Horizontal
 - D. Vertical
118. Which one of the following risk reduction methods involves distributing risks across multiple individuals or groups?
- A. Risk premium
 - B. Diversification
 - C. Risk spreading
 - D. Insurance contracts
119. Which one of the following is most likely a variable cost of production?
- A. Wages of unskilled labour
 - B. Payments for purchased machinery
 - C. Rent for the building
 - D. Insurance expense
120. In the consumption function, what does the term "autonomous consumption" refer to?
- A. Consumption that varies with income
 - B. Consumption of durable goods
 - C. Minimum level of consumption regardless of income
 - D. Consumption of luxury goods